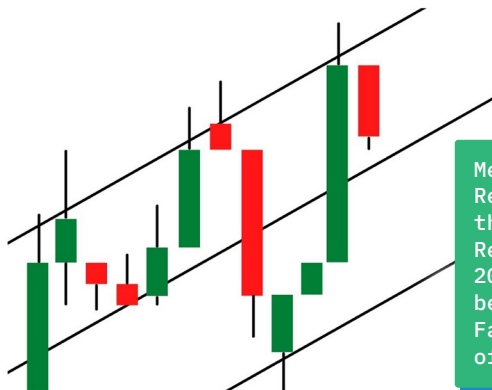


We will also be using the Linear Regression Line. The Linear Regression Line helps us in identifying the mean of the current price leg.

LinReg 100 close 2 2



Meaning, a 20-period Linear Regression line will equal the ending value of a Linear Regression line that follows 20 candlesticks. This way, it becomes easy to draw the Gann Fan accurately with the help of the Linear Regression Line.

So now that you are familiar with these two indicators, let us look at the trading strategy.

TRADING WITH THE GANN FAN

You can use the Gann Fan on any intraday time frame. Here are the 3 steps.

STEP 1: Look for a price swing. If the market is in an uptrend, use the Linear Regression line from the bottom of the price leg to top and vice versa in a downtrend. Another thing to remember is, if you are not using the Linear Regression line properly, you will know it as the indicator won't calculate its value till you have chosen a proper price leg.

STEP 2: Once you know the mean value, plot the Gann Fan on the same price leg.

STEP 3: In case if the trend is up, buy whenever you see the price taking support from one of the Gann Fan's levels and sell if the price is in a downtrend and you see it taking resistance from the Gann Fan's levels.